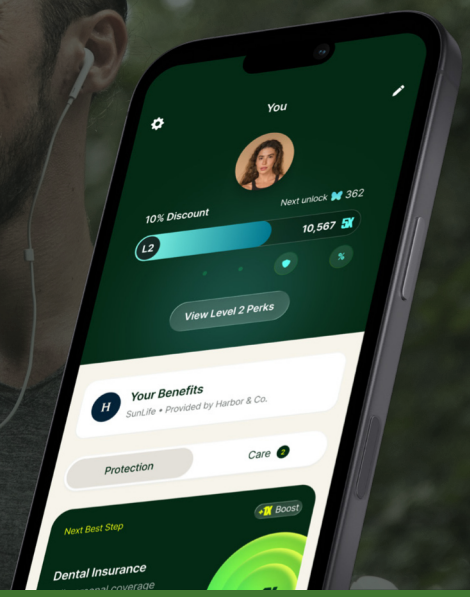
BETTERFLY

betterfly.com

Insurance that keeps people healthy *— and rewards them for it*

Carrier Partnership Overview · Confidential · March 2026



Why Now: The industry inflection point

Employee benefit costs continue rising and the industry's operating model remains reactive: pay after the event, then renegotiate at renewal. Carriers have deep claims data, but it's inherently lagging—by the time a claim appears, the risk has materialized. Wellness platforms generate engagement but can't tie it to insurance outcomes. This fragmentation keeps the industry in a renewal-centric loop where differentiation collapses into price.

Who We Are:

Betterfly is an AI-powered Health & Insurance Operating System that unifies insurance, wellness, and rewards into one ecosystem. We transform voluntary benefits from static, low-engagement products into dynamic, prevention-first experiences that employees actually use — every day.

Betterfly integrates Protection (insurance), Prevention (health services), Engagement (missions, rewards, AI coaching), and Administration (broker and employer portals) into one system where each component reinforces the next. For a carrier, Betterfly becomes the execution layer between distribution and portfolio outcomes—improving adoption, enrollment quality, persistency, and the availability of leading risk signals.

Protection

- Group Life (basic + voluntary buy-up, AD&D)
- Accident, Critical Illness, Cancer, Hospital Indemnity
- Individual Life for employees

Prevention

- Preventive Labs establishes member baseline from day one
- 24/7 telemedicine, mental health, nutrition coaching
- AI-driven personalized interventions tied to risk signals

Engagement

- Personalized missions, challenges, and Betterfly rewards
- Sustained participation beyond open enrollment
- Get Clear > Get Protected > Get Rewarded member journey

Administration

- Broker Portal: quoting, proposals, enrollment, commissions
- Employer Portal: eligibility, documentation, HR analytics
- Member App: guided enrollment, claims guidance, dashboard

The Betterfly Flywheel:
Our Data Engine

Betterfly operates as a flywheel, not a seasonal program. As members engage, we capture richer behavioral and preventive data. That data improves predictive models and enables more effective interventions. Better interventions drive better outcomes — reduced risk progression, stronger persistency, improved experience. Better economics then fund richer incentives, which further strengthens engagement. The system compounds. Florida is where we start; the flywheel is why this scales.

Healthier Members → **More Data** → **Better Predictions** → **Better Economics** → **More Prevention**

Data & AI Differentiation

Betterfly's moat: connecting **leading** behavioral signals to insurance outcomes — not just **lagging** claims data
We deliver carrier-grade cohort insights, engagement segmentation, early risk signal alerts, and operational visibility that improves enrollment quality and persistency. Over time, this creates a path to underwriting intelligence and portfolio optimization grounded in real-world behavioral data.

Why Carriers Partner with Betterfly

Betterfly helps carriers unlock profitable growth in the underserved SMB segment without changing their underwriting, claims, or broker distribution model. By combining continuous member engagement with preventive health services and behavioral data, the platform improves enrollment quality, voluntary benefit attachment, and policy persistency. Carriers gain earlier visibility into leading risk signals and portfolio dynamics, enabling smarter underwriting insights over time. At the same time, automation and guided enrollment reduce administrative friction for brokers and employers. The result is stronger portfolio economics, improved loss ratio resilience, and a differentiated offering for brokers and employers.

What We Bring To Carriers

Betterfly unlocks profitable SMB growth through three carrier-grade levers—without disrupting existing distribution, underwriting, or claims operations.

Operational Efficiency

- "Zero-touch" design reduces servicing load for micro groups
- Standardized workflows, better enrollment accuracy
- Admin visibility across broker and employer ops

Higher Take-Up

- Guided enrollment and education-first design
- Increased voluntary participation & product attachment
- Higher premium per case via improved clarity and a personalized offering

Improved Persistency

- Engagement continues post-enrollment—benefits stay active
- Reduced lapse pressure, stronger renewal positioning
- Leading risk signals for portfolio monitoring

Operational Model:
No Overlap, No Channel Conflict

The carrier owns underwriting, policy issuance, and claims. The broker retains the employer relationship and remains broker-of-record. Betterfly operates the experience layer—broker portal, employer portal, member app—and the data engine. No overlap, no channel conflict. Revenue shared through a flexible PEPM model. Betterfly is ISO 27001 certified with enterprise-grade data security practices. HIPAA-compliant architecture for U.S. operations. SOC 2 Type II planned. Clear separation of regulated and non-regulated data flows between carrier and platform.

Product Scope

A clean, broker-familiar portfolio built for speed and adoption: Core offering includes **Group Life** (basic employer-paid with AD&D + voluntary buy-up), **Voluntary Benefits (Accident, Critical Illness, Cancer, Hospital Indemnity)**, and **Individual Life** (simplified term for SMB owners and key employees). This maximizes adoption, minimizes operational burden, and creates the data foundation for future expansion. Near term expansion considers **Dental, Vision, and Income Protection** (STD/LTD), to further strengthen the platform's value proposition while maintaining operational simplicity.

Value Across the Ecosystem

For the Carrier

"Zero-touch" design reduces servicing load for micro groups
Standardized workflows, better enrollment accuracy
Admin visibility across broker and employer ops

For Brokers & Agencies

Broker Operating System: faster selling, scalable admin
AI tool streamlines quoting, proposals, complex tasks
No disintermediation—increases productivity without channel conflict
Client engagement analytics and consultative selling support

For the Employer

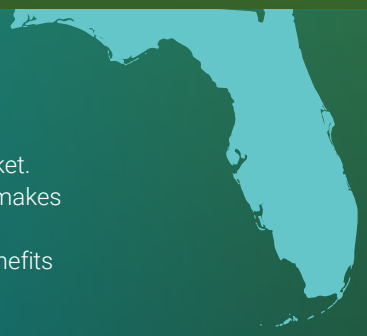
Centralized HR portal: eligibility, enrollment, documentation
Reduced admin burden and minimized errors
Measurable ROI on wellness investment

For the Employee

Complex products > simple choices via guided UX
Clear value language facilitates enrollment decisions
Ongoing access: claims guidance, health services, rewards

US Entry: Florida SMB

Florida's large SMB base and strong broker density make it an ideal entry market. Micro and small groups remain underserved because manual administration makes them unprofitable. Betterfly changes the economics by digitizing enrollment, standardizing plan design, and sustaining post-enrollment engagement so benefits don't go dormant. **Florida is the entry point. The flywheel is the prize.**



Strategic Partnership with an Insurance Carrier

Betterfly is seeking a strategic insurance partner to build a next-generation prevention-driven benefits model in the U.S.—not simply a provider of risk capacity. The right partner will collaborate with us to rethink how voluntary benefits are distributed, experienced, and underwritten. By combining the carrier's underwriting expertise and risk capacity with Betterfly's engagement engine, behavioral data, and AI-driven insights, we aim to unlock a new model where prevention, participation, and protection reinforce each other.

- Develop innovative insurance products designed for a prevention-first ecosystem
- Improve underwriting intelligence using real-world behavioral and preventive health signals
- Strengthen portfolio performance through better enrollment quality and persistency
- Create differentiated offerings for brokers and employers in the underserved SMB market
- Build a long-term data and innovation partnership that compounds over time

This is an opportunity to **shape the future** operating model of employee benefits—moving from reactive insurance toward a **continuous prevention and protection system.**